TEACHER GUIDE DRAFT

Junior Cycle Business Studies (NCCA)

Marketing mix: price

Strand 2: Enterprise
2.8 The marketing mix: price



A revision lesson. Pupils run a car dealership in firms of four and revise marketing mix: price on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Margin of the price

Round 1

What do you keep?

Margin, as % of the price?

You pay per car	**€10,200**
Customer pays per car	**€12,000**

ANSWER

15%

(€12,000 − €10,200) ÷ €12,000 = 15%

Why: You keep 15p of every €1 the customer pays.

2 Penetration risks

Round 1

You set a low price on a new model to win buyers fast.

Which two are the main risks?

- **A** Rivals can never match it
- **B** Fewer buyers at the start
- **C** A higher profit per car
- **D** Buyers may leave when it rises
- **E** A low margin on each car

ANSWER

✓ Buyers may leave when it rises
✓ A low margin on each car

Why: A low price earns little per car, and buyers drawn by price may not stay.

3 Rank by margin

Round 2

Three cars: what you pay for each, and its price.

Order by margin %, highest first?

- **A** Pay €14,000, price €17,500
- **B** Pay €7,000, price €10,000
- **C** Pay €9,000, price €12,000

ANSWER

1. Pay €7,000, price €10,000
2. Pay €9,000, price €12,000
3. Pay €14,000, price €17,500

Why: Margins 30%, 25%, 20%: the biggest profit in euros has the lowest margin.

Topic tasks

4 Price to hit margin

Round 2

Price to hit your target.

Price with the 25% margin?

You pay per car	**€7,200**
Prep per car	**€300**
Target margin on the price	**25%**

ANSWER

€10,000

(€7,200 + €300) ÷ 75% = €10,000

Why: A 25% margin is a 33% mark-up on cost.

5 High or low launch

Round 3

You get a rare new model that no rival in town sells.

Which launch price should you set, and why?

A A low price at launch

B A high price at launch

ANSWER

✔ A high price at launch

Why: No rival and a rare model: buyers will pay more at first, so skim.

6 Discounted profit

Round 3

They want a discount.

Profit on the 3 cars?

List price per car	**€17,000**
Fleet discount	**10%**
You pay per car	**€12,000**

ANSWER

€9,900

3 × (€17,000 − 10% − €12,000) = €9,900

Why: The 10% discount costs €5,100 of profit on the deal.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Pricing”: the 6 come from these 10 questions.

Then each pupil writes one short answer: “Explain when a dealer should set a high launch price.”

1. A car cost your firm €9,000. You want €2,200 left after the VAT on the margin. Roughly what price do you need?
   ✔ **About €11,706**

2. A rival sells the same model for €11,500. Your car cost €10,200. If you match the rival's price, what is left after VAT?
   ✔ **€1,057**

3. Your price to a customer is €13,000. What does the customer actually hand over?
   ✔ **€13,000: the VAT on your margin is inside the price**

4. You sell a car to another student firm for €9,500; it cost you €8,800. Does the sale carry VAT?
   ✔ **Yes: 23/123 of the €700 margin, like any sale**

5. You add a 20% markup to a car that cost €8,000. What is the price, and what is the margin?
   ✔ **Price €9,600, margin €1,600**

6. A customer offers €10,000 and another firm offers €9,600 for a car that cost €8,500. After VAT, how much more does the customer sale leave?
   ✔ **€326**

7. A fleet customer wants 4 cars that cost you €7,000 each and offers €30,000 for the lot. What is the margin per car, and the VAT on the lot?
   ✔ **€500 a car; VAT €372**

8. Two firms sell the same SUV. Firm A paid €14,000 and asks €16,000; Firm B paid €15,200 and asks €16,000. Which firm keeps more after VAT?
   ✔ **Firm A: a bigger margin leaves more even after a bigger VAT**

9. You cut a price from €12,000 to €11,400 on a car that cost €9,900. How much less do you keep after VAT?
   ✔ **€487**

10. Your firm wants €6,000 left after VAT this round and sells cars at a €2,000 margin each. How many must it sell?
    ✔ **4**